

Let us look at a bearish example now.



As you can see the established trend here is bearish, you can start drawing the range as soon as you see a Pin Bar forming at the top. Remember, we cannot take a trade on the initial Pin Bar. This is where we are marking our levels. We will sell the stock once the price reaches the same resistance level and forms a Pin Bar. We will consider this Pin Bar pattern as the 1st Pin Bar of this range.

The above stock has not formed a Pin Bar candlestick pattern at the bottom of the range so we will avoid taking any reversal trades here.

CONCLUSION

The Pin Bar candlestick pattern is an effective tool for recognizing the potential reversals in stock market. By following this strategy and considering proper risk-to-reward ratios, you can capitalize on the potential reversals and consolidation of using the Pin Bar candlestick pattern.